significant benefit. By rendering accountability directly to the legislature, the Reserve Bank will be protected from potential assaults on its autonomy by the political executive.

I had, in fact, made this suggestion to the FSLRC, but in the event, they did not accept my advice. I gather informally that some members of the FSLRC thought that such a prescription would not accord with our Constitution!

Instead, what the FSLRC recommended is that the annual report of all financial agencies, including the Reserve Bank's, contain a statement by the chairperson, the governor in this case, on the activities and performance of the institution and that the government lay the annual report on the table of Parliament. This is far short of what I believe is necessary in the case of a public policy institution like the Reserve Bank whose policies have such a wide impact on people's everyday lives.

Walking Alone

All through my occasional skirmishes with the government over the five years I was at the Reserve Bank, I refrained from confronting it on the autonomy issue in the public domain. It was only in the Palkhivala Memorial Lecture I delivered on 29 August 2013, a week before I stepped down, that I rendered an account of my experience of leading the Reserve Bank for five turbulent years, to issue a repartee. This is what I said:

'A final thought on the issue of autonomy and accountability. There has been a lot of media coverage on policy differences between the government and the Reserve Bank. Gerhard Schröeder, the former German chancellor, once said: "I am often frustrated by the Bundesbank. But thank God, it exists." I do hope Finance Minister Chidambaram will one day say: "I am often frustrated by the Reserve Bank, so frustrated that I want to go for a walk, even if I have to walk alone. But thank God, the Reserve Bank exists."'

The standing ovation that I received remains one of the most treasured and enduring memories of my time as governor.